

Dividend Policy

1. Meaning of Dividend

Dividend means that part of a company's profits which is distributed among its shareholders. It is the reward received by shareholders for investing in the shares of the company. The company may distribute a portion of its earnings as dividend and retain the remaining profit for future expansion and growth. Therefore, dividend policy affects both shareholders' wealth and the company's long-term financing.

Definitions of Dividend

1. According to Justice Ghulam Hasan

“Dividend is that portion of corporate profit which has been set aside and declared by the company as liable to be distributed among shareholders.”

2. According to Cook

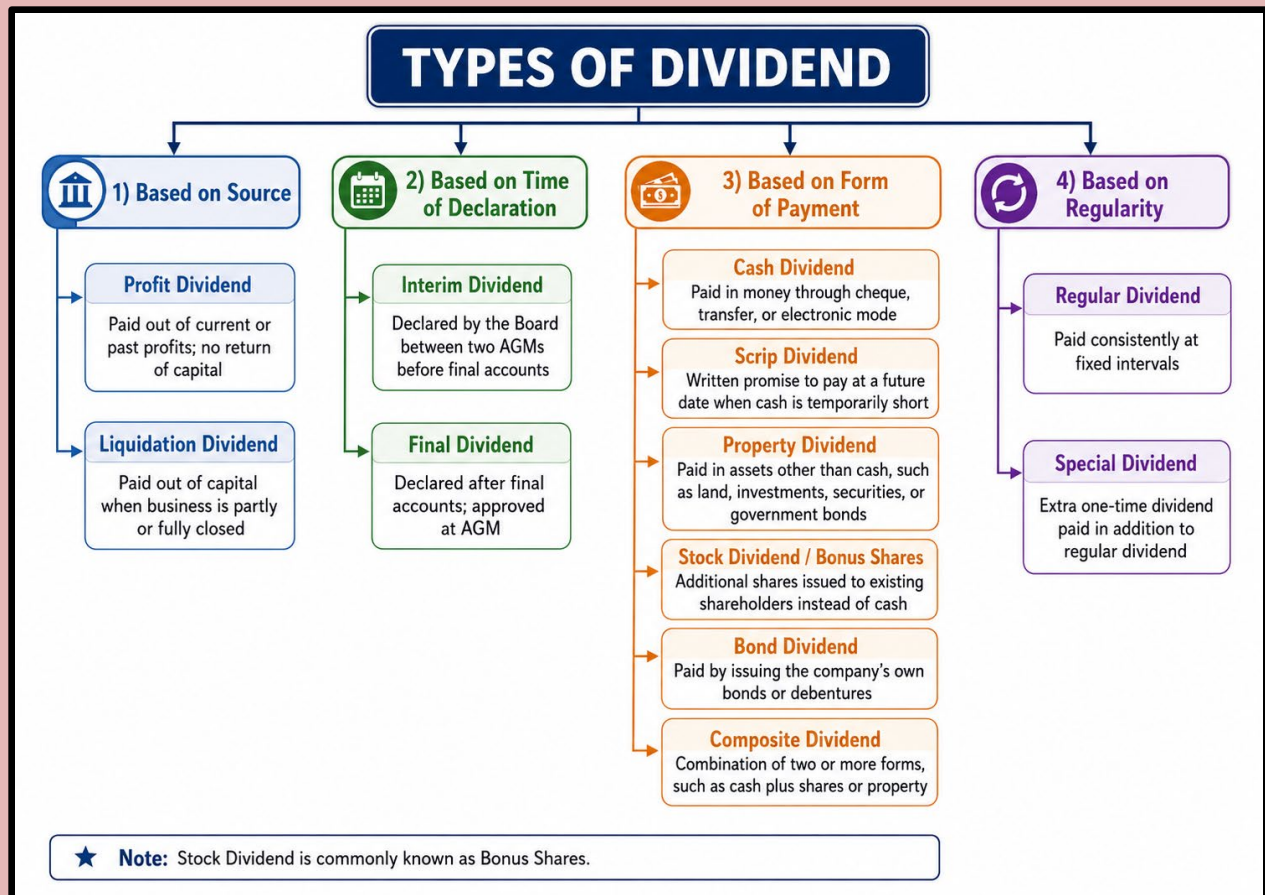
“A dividend is a corporate profit set aside and ordered by the directors to be paid to the stockholders on a fixed date.”

2. Forms of Dividend

The document includes Profit, Liquidation, Interim, Final, Cash, Scrip, Property and Stock Dividends. It also discusses bonus shares, share buyback, share split, reverse share split, cum-dividend and ex-dividend as related corporate actions or share-status concepts.

1. Profit Dividend

A profit dividend is paid out of the profits earned by a company during its ordinary business operations. It may be distributed from current-year profits or accumulated profits of previous years. It represents the shareholders' share in the regular earnings of the company. It does not involve the return of the company's capital.



2. Liquidation Dividend

A liquidation dividend is paid out of the company's capital rather than its ordinary business profits. It is usually distributed when the company is fully or partly closing its business. The payment may be made from the amount realised by selling company assets. It represents a return of shareholders' invested capital.

3. Interim Dividend

An interim dividend is declared between two Annual General Meetings. It is declared by the Board of Directors during the financial year before the final accounts are completed. It may be paid from the current year's profits or accumulated profits of previous years. It is paid before the declaration of the final dividend.

4. Final Dividend

A final dividend is declared after the closing of the financial year and preparation of the final accounts. It is recommended by the Board of Directors and approved by shareholders at the Annual General Meeting.

The amount is based on the company's final profits for the year. Any interim dividend already paid is considered before fixing it.

5. Cash Dividend

A cash dividend is paid to shareholders in the form of money. It is the usual and most common method of dividend payment. It may be paid through cheque, dividend warrant, bank transfer or electronic means. It causes an immediate cash outflow from the company.

6. Scrip Dividend

A scrip dividend is a written promise to pay the dividend at a specified future date. It is generally issued when the company has profits but faces a temporary shortage of cash. Shareholders receive a certificate showing the amount payable to them. The company pays that amount when the scrip becomes due.

7. Property Dividend

A property dividend is paid through assets other than cash. It may include goods, investments, securities, land, government bonds or bonds of other companies owned by the company. Government bonds are treated as property dividends because they are investment assets. Such dividends are uncommon and are normally distributed only under exceptional circumstances.

8. Stock Dividend or Bonus Shares

A stock dividend is paid by issuing additional shares to existing shareholders instead of cash. The document explains stock dividend as the issue of bonus shares to existing shareholders. The shares are issued in proportion to the shareholder's existing holding. It increases the number of shares, but does not immediately increase the shareholder's total wealth.

9. Bond Dividend

A bond dividend is paid by issuing the company's own bonds or debentures to shareholders. The company promises to repay the amount after a specified period, usually with interest. It is useful when the company wants to conserve cash. Government bonds are not bond dividends; they are included under property dividends.

10. Composite Dividend

A composite dividend is paid through a combination of two or more forms. For example, a company may pay one part in cash and another part in shares, bonds or property. It provides flexibility in managing the company's cash and other assets. Shareholders also receive benefits in more than one form.

11. Bonus Shares

Bonus shares are additional fully paid shares issued free of cost to existing shareholders in proportion to their current shareholding. They may be issued by capitalising free reserves, the securities premium account

, or the capital redemption reserve account. However, reserves created through the revaluation of assets cannot be used for issuing bonus shares. For example, a 1:1 bonus issue gives one additional share for every share held. Bonus shares do not cause an immediate cash outflow and cannot be issued in place of a dividend.

12. Share Split

A share split divides one existing share into several shares of smaller face value. For example, one share having a face value of ₹10 may be divided into five shares of ₹2 each. It increases the number of outstanding shares but does not change the total share capital or shareholders' wealth. It is generally used to make shares more affordable and liquid.

13. Reverse Share Split

A reverse share split combines several existing shares into a smaller number of shares with a higher face value. For example, five shares of ₹2 each may be combined into one share of ₹10. It decreases the number of outstanding shares but does not change the total value of the shareholder's investment. It may be used to increase the market price per share.

14. Share Buyback or Share Repurchase

A share buyback means the repurchase of a company's own shares from existing shareholders. The repurchased shares are normally cancelled, reducing the company's equity capital and number of outstanding shares. It may increase earnings per share because fewer shares remain outstanding. It is also a method of returning surplus cash to shareholders.

15. Cum-Dividend

Cum-dividend means “with dividend.” A share is cum-dividend when the buyer is still entitled to receive the dividend already declared by the company. The dividend has been announced, but the share is still trading with the right to receive it. Therefore, the upcoming dividend remains attached to the share.

Example: A company declares a dividend of ₹5 per share. An investor purchases 100 shares while they are trading cum-dividend. The investor becomes entitled to receive a dividend of ₹500 .

16. Ex-Dividend

Ex-dividend means “without dividend.” A share becomes ex-dividend when a new buyer is no longer entitled to receive the dividend already declared. The dividend is paid to the shareholder who was eligible according to the company’s record date. The market price of the share may decrease approximately by the amount of dividend.

Example: A company declares a dividend of ₹5 per share, and its share price is ₹100 before becoming ex-dividend. On the ex-dividend date, the price may fall to approximately ₹95. A person purchasing the shares on or after this date will not receive the ₹5 dividend; it will be paid to the eligible previous shareholder.

17. Regular Dividend

A regular dividend is paid consistently at fixed intervals, such as quarterly, half-yearly or annually. It is generally paid by companies having stable profits and adequate cash flows. Regular payments create confidence among shareholders. They also indicate stability in the company’s dividend policy.

18. Special Dividend

A special dividend is an additional one-time dividend paid apart from the regular dividend. It may be declared when a company earns exceptionally high profits or sells a major asset. It is not expected to be repeated regularly. Therefore, it should not be treated as permanent dividend income.

3. Meaning of Dividend Policy

Dividend policy refers to the principles and guidelines followed by a company in deciding how much of its profit should be distributed to shareholders and how much should be retained in the business. It balances shareholders’ desire for current income with the company’s need for funds for expansion and long-term

growth. The policy also determines the timing, rate and regularity of dividend payments. Therefore, dividend policy affects both the financing of the company and the wealth of its shareholders.

Essentials of a Sound Dividend Policy

A sound dividend policy should provide a reasonable return to shareholders without weakening the company's financial position. The uploaded document supports the principles of stability, liquidity, future financial requirements, shareholder expectations, legal restrictions, management attitude and proper timing of payment.

1. Stability of Dividend

A sound dividend policy should provide stability and consistency in dividend payments. Shareholders generally prefer a regular and predictable income rather than large fluctuations in dividend. The company should try to maintain a certain minimum rate even when profits vary moderately. Stability creates confidence among investors and improves the company's financial reputation.

2. Gradually Rising Dividend Rate

The rate of dividend should be increased gradually as the company's earnings and financial strength improve. A sudden large increase may create expectations that the company may not be able to fulfil in future. Management should increase the dividend only when the higher level of earnings appears sustainable. A gradually rising rate provides confidence while protecting the company against future financial pressure.

3. Distribution in Cash

Dividends should normally be distributed in cash when the company has sufficient liquid resources. Cash dividends provide immediate income to shareholders and are generally preferred by investors who depend on regular returns. However, the company should not pay a cash dividend if doing so would weaken its working-capital position. When cash is insufficient, the company may retain profits or consider stock dividends, subject to legal provisions.

4. Moderate Start

A newly established company should begin with a moderate rate of dividend. It should not declare an excessively high rate that may be difficult to maintain in later years. A moderate beginning allows the

company to build reserves and retain sufficient funds for expansion. Once earnings become stable and sustainable, the dividend rate may be increased gradually.

5. Balance Between Dividend and Retained Earnings

A sound policy should maintain a proper balance between dividend distribution and retained earnings. Shareholders expect a reasonable return, while the company requires funds for replacement, expansion and future projects. Excessive dividends may force the company to depend on external finance. Very low dividends, however, may disappoint shareholders and negatively affect the market value of shares.

6. Flexibility in dividend policy
7. Adequate liquidity position
8. Balance between dividend and retained earnings
9. Future financial requirements
10. Shareholders' expectations

4. Types of Dividend Policy

1. Conservative Dividend Policy

Under a conservative dividend policy, the company distributes a relatively small portion of its profits as dividend and retains the major portion in the business. The retained earnings are used for expansion, working capital, repayment of debt and strengthening the financial position. This policy is usually adopted by new, growing or financially uncertain companies. It reduces dependence on external finance but may disappoint shareholders seeking regular income.

2. Liberal Dividend Policy

Under a liberal dividend policy, the company distributes a relatively large portion of its earnings among shareholders. It is generally followed by mature companies that have stable profits, sufficient cash and fewer expansion requirements. The policy provides a high current return and may attract income-oriented investors. However, excessive distribution may reduce reserves and the funds available for future growth.

3. Stable Dividend Policy

Under a stable dividend policy, the company aims to maintain consistency in dividend payments over time. It pays a certain minimum dividend regularly and avoids frequent reductions in the rate. This policy creates

confidence among shareholders who depend on dividend income. Once established, it should be changed carefully because a reduction may negatively affect investors' confidence and the market image of the company.

Advantages

1. Provides regular and predictable income to shareholders.
2. Creates confidence among investors.
3. Attracts shareholders who depend on dividend income.
4. Improves the company's financial standing and reputation.
5. Helps maintain consistency in the market value of shares.

Disadvantages

1. Once established, it becomes difficult to change the policy.
2. Failure to maintain the dividend may seriously affect investor confidence.
3. It may create financial pressure during periods of low earnings.
4. Shareholders may develop excessive expectations of regular payment.
5. The company may have to use reserves or external funds to maintain the dividend.

5. Factors Affecting Dividend Policy

1. Position of Profits

The amount and trend of profits strongly influence dividend policy. A company earning stable and increasing profits can pay a higher and more regular dividend. If profits are low or uncertain, management may reduce the dividend and retain more earnings. Dividend decisions should be based on long-term earning capacity rather than temporary profits.

2. Position of the Business Cycle

Dividend policy changes according to different stages of the business cycle. During a boom, the company may retain profits to create reserves and finance profitable opportunities. During recession or depression, reserves may help maintain financial stability. Management should therefore adjust dividend payments according to prevailing business conditions.

3. Need for Additional Capital

Companies require additional capital for expansion, modernisation and increased working-capital needs. A growing company generally retains a larger portion of its profits instead of distributing them as dividends. This reduces dependence on external finance. Therefore, greater capital requirements normally result in a lower dividend payout.

4. Liquidity and Capital Requirements

Dividend payment requires sufficient cash and liquid resources. A profitable company may still be unable to pay a cash dividend if its liquidity position is weak. When cash is needed for operations, liabilities or expansion, management may retain profits or issue stock dividends. A strong cash position permits a higher cash dividend.

5. Attitude and Needs of Shareholders

The expectations and financial needs of shareholders influence dividend policy. Small investors, retired persons and middle-class shareholders may prefer regular dividend income. Wealthy or growth-oriented investors may prefer retained earnings and future capital gains. Management should consider the nature and expectations of its shareholders before deciding the dividend rate.

6. Legal and Contractual Obligations

Dividend policy must comply with company law and contractual restrictions. The company must provide for depreciation and meet the claims of creditors and preference shareholders before paying equity dividends. Loan agreements may also restrict dividend payments. Therefore, dividends can be declared only after fulfilling all legal and contractual obligations.

7. Past Dividend Policies

Shareholders generally expect the company to maintain the dividend rate paid in previous years. Directors are often reluctant to reduce dividends because it may damage investor confidence. Past dividend payments therefore serve as an important guide for current decisions. A change should normally be made only when financial circumstances require it.

8. Government Control

Government fiscal, industrial, labour and regulatory policies can affect the earnings and dividend-paying capacity of a company. In some circumstances, the government may restrict dividend distribution beyond a prescribed limit. Companies must modify their dividend policies according to such controls. Government guarantees or assistance may also affect the source of dividend payment.

9. Taxation Policy

High taxation reduces the net earnings available for dividend distribution. The tax treatment of dividends and capital gains also affects shareholders' preferences. When dividends are taxed more heavily, investors may prefer retained earnings and capital gains. Management should consider the tax consequences for both the company and its shareholders.

10. Composition of Ownership

The distribution and composition of shareholding affect dividend decisions. In a closely held company, a small group of owners may agree to retain most of the profits. In a widely held company, many shareholders may demand regular dividend income. Therefore, companies with widely distributed ownership generally face greater pressure to maintain stable dividends.